the Government, coupled with relative stability in taxes, has enabled this segment to partially recover volumes from illicit trade. Volume recovery over time will lead to buoyancy in tax revenues and growth in demand for Indian tobaccos, benefitting both the Exchequer and Indian farmers.

The FMCG industry offers immense opportunity for growth. The market size of the FMCG segment is estimated to be upwards of Rs 21 trillion by 2030 and the addressable market for your Company's carefully curated FMCG portfolio is estimated to be about Rs 5 trillion. The multi-dimensional interventions of ITC Next position your Company well to harness the significant market potential, attain leadership in every segment and create growing value for all stakeholders.

AGRI BUSINESS

Agriculture assumes even more significance as we envision a future with nearly 10 billion people on this planet by 2050, requiring a massive 70% increase in food production. The agri sector has the onerous task of providing for food, bio-energy and livelihood security, even as climate change causes more vulnerability. Nearly half of India's workforce is dependent on this sector which faces challenges of low productivity and incomes. Consequently, there is an urgent need for a new developmental paradigm for this sector.

> **"ITCMAARS has been rapidly expanded to 9 states, supporting more than 6,00,000 farmers through 1,150 FPOs. Your Company's aspiration is to support 4,000 FPOs by 2030, stepping up farmer empowerment from 4 million to 10 million."**

India is well endowed as the 2nd highest agri producer in the world, with the largest arable land and diverse agro-climatic zones. Yet, agriculture accounts for just 18% of GVA with only 3% share of global trade and less than 10% share of processed produce. However, there is tremendous untapped growth potential through vertical scale-up, value addition and larger integration to global markets, with consequent large-scale rural transformation.

The ITC Next strategy seeks to address the imperatives of fostering demand-responsive agriculture, accelerating value-addition, enhancing productivity, quality and farm incomes, strengthening competitiveness and tackling vulnerabilities arising from climate risks. The purposeful policy thrust of the Government to accelerate digital adoption in the farm sector and promote Farmer Producer Organisations (FPOs) have enabled your Company to bring the power of digital revolution to farmers with FPOs as the pivot. ITCMAARS, the phygital ecosystem that was launched last year, is poised to be a game changing catalyst to usher in Next Generation Agriculture. This new business model enables larger efficiencies in sourcing, higher value addition and better traceability of attribute-specific products, besides promoting sustainable agriculture. ITCMAARS has been rapidly expanded to 9 states, supporting more than 6,00,000 farmers through 1,150 FPOs. Your Company's aspiration is to support 4,000 FPOs by 2030, stepping up farmer empowerment from 4 million to 10 million.

Your Company's Climate Smart Agriculture (CSA) Programme aims to de-risk farmers from extreme weather events through a package of agronomy practices, high-yielding and climate-resilient varieties as well as appropriate mechanisation. Today, the programme has already covered over 2.3 million acres against the target of 3 million acres, benefiting more than 7,40,000 farmers. It is encouraging to note from an assessment of the first phase of CSA districts that GHG emissions of select crops reduced between 13-66% and net returns to farmers increased by 46-93%. Also, 70% of the villages have moved into the High-Resilience, High-Yield category.

A key opportunity area in the agri-sector is Horticulture given the potential for value addition, exports and higher farmer incomes. ITC's Agri Business is building on its portfolio of Value-Added Products across multiple value chains including spices, coffee, frozen marine products, processed fruits and organic produce. The Business is also gearing up for a full play in Medicinal and Aromatic Plants. This year, your Company set up a state-of-the-art export-oriented spices facility in Guntur, Andhra Pradesh. This plant, together with the Integrated Crop Management programme of your Company, initiated in partnership with various State Governments, will provide formidable competitiveness, whilst empowering farmers. In addition, your Company's subsidiary, ITC IndiVision Limited has recently commissioned a world-class facility for the manufacture and export of nicotine and nicotine derivative products, conforming to stringent US and EU Pharmacopoeia standards.

Today, your Company is the largest procurer of agri commodities in the private sector, sourcing 4.5 million tonnes across 20 value chains in 22 States, placing it in a unique position to make a meaningful difference to rural transformation and farmer empowerment. Your Company's world-class FMCG brands anchor several agri value chains contributing to rural transformation and national priorities. We believe our efforts will usher in a new dimension of agricultural progress, benefitting farmers whilst providing significant competitive advantage to your Company's businesses.

PAPERBOARDS, PAPER & PACKAGING BUSINESS

India's ambitious growth trajectory is expected to drive demand for high quality value-added paperboards and sustainable packaging. Current per capita paperboard and paper consumption in India is considerably low at 14 kgs, compared to world average of 57 kgs, pointing to the growth potential. The emerging trend for plastic substitution will also provide further fillip to the demand for paperboards and plant-based moulded fibre biodegradable products.

The ITC Next strategy for the Paperboards and Packaging Business entails development of a portfolio of Value-Added Paperboards and Sustainable Packaging, strengthening structural competitiveness, scaling up a cost-effective fibre chain and leveraging opportunities arising out of the mega trends of digital and sustainability.

The Value-Added Paperboards portfolio has been fortified with substantial capacity augmentation in the last 5 years. The Business is at the forefront of developing sustainable packaging solutions and a range of planet-friendly, biodegradable and recyclable products have been launched on existing platforms under the 'Filo', 'Omega', 'Bio-seal' and 'Oxyblock' series. These eco-labelled products have recorded a 2x increase in revenue over last year. Pioneering work has been undertaken to create a new platform with plant-based premium moulded fibre